Assumptions

	Value
Revenue Growth	4.2%
EBIT Margin	31.1%
Tax Rate	18.1%
CapEX % Revenue	2.8%
Depreciation % Revenue	2.9%
WACC	8.5%
Terminal Growth	2.5%
Shares Outstanding	14,900
Operating NWC(% Revenue)	-8.10%

Notes

NWC Calculation(2025)

Operating Current Assets = Marketable Securities(18,763)+Accounts Receivable(39,777)+Vendor Receivables(33,180)+Inventory(5,718)+Other Current Assets(14,585) =$ 112,023

Operating Current Liabilities = 69,860(Accounts Payable)+Other Current Liabilities(66,387)+Deffered Revenue(9,055) = $145,302

2025 NWC = -33,279

NWC Calculation(2024)

Operating Current Assets = 35,228+33,410+32,833+7,286+14,287=123,044

Operating Current Liabilities = 68,960 + 78,304 + 8,249 = 155, 513

-32469

2024	Average
-8.30%	-8.15%
2025	
8.00%	

Units in millions unless specified otherwise

Line item	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	$ 416,161	$ 433,640	$ 451,853	$ 470,830	$ 490,605	$ 511,211
EBIT	$ 133,050	$ 134,862	$ 140,526	$ 146,428	$ 152,578	$ 158,987
Taxes	$ 20,719	$ 24,410	$ 25,435	$ 26,504	$ 27,617	$ 28,777
NOPAT	$ 112,331	$ 110,452	$ 115,091	$ 119,925	$ 124,962	$ 130,210
Depreciation	$ 11,698	$ 12,576	$ 13,104	$ 13,654	$ 14,228	$ 14,825
CapEx	$ 12,715	$ 12,141.91	$ 12,651.87	$ 13,183.25	$ 13,736.95	$ 14,313.90
Change in NWC	$ -	$ (1,416)	$ (1,475)	$ (1,537)	$ (1,602)	$ (1,669)
Free Cash Flow	$ 111,314	$ 112,301	$ 117,018	$ 121,933	$ 127,054	$ 132,390

	Discounted Cash Flow			
Year		FCF	Discount Factor	Present Value
2026E		112301	0.921659	103504
2027E		117018	0.849455	99402
2028E		121933	0.782908	95462
2029E		127053.9612	0.721574	91679
2030E		132390	0.665045	88046

PV of Forecast Period 478092

Enterprise Value Calculation		
PV of Forecast FCF		$ 478,092
PV of Terminal Value		$1,504,111
Enterprise Value		$ 1,982,203

Implied Share Price	
Equity Value	$2,466,855
Shares Outstanding	14,900
DCF Implied Share Price	$ 165.56

Terminal Value		
Final Year FCF		$172,129
Terminal Growth Rate		2.5%
WACC		8.5%
Terminal Value		$2,261,666.39
PV of Terminal Value		$1,504,111

Equity Value Bridge

Enterprise Value		$ 1,982,203
Equity Value		$ 2,466,855

(Enterprise Value + Cash & Investments - debt)

Base Case Assumptions		
WACC	8.5%	
Terminal Growth	2.5%	

Valuation Conclusion			
DCF Implied Share Price			$165.56
Current Share Price			$335.52
Upside/(Downside)			-51%

Valuation Interpretation
The Discounted Cash Flow Model(DCF) estimates the value of the stock at around $165.56, based on a 8.5% WACC and 2.5% terminal growth rate. However, in accordance with todays share price of $333.52 there is a -

DCF Sensitivity Analysis

EV/Shares Outstanding = $165.56			
	Terminal Growth		
WACC	2%	2.5%	3%
7.5%	$149.13	$161.23	$176.01
8.5%	$127.08	$165.56	$144.88
9.5%	$111.11	$117.00	$123.79

Company Overview
Apple Inc.(AAPL) is a global technology company that designs, manufactures, and sells consumer electronics, software, and Services. The company's

Investment Thesis	
Strengths	
Strong Free Cash Flow Generation	Apple consistently produces significant operating cash flow, supporting areas like investments and share
High Profitability	Strong operating margins and ecosystem positioning allow Apple to maintain its high profitability
Services Growth	Services segment provides recurring revenue and higher margins compared to hardware products
Capital Return Program	Continued Share Repurchases reduce shares outstanding and support earnings per share growth

Risks	
International Trade	A significant portion of their cash flow comes from unstable international trade economies
Competition	Apple trades in a significantly wide market and failure to stay competitive and innovate could lead to drops in
Regulatory Risks	Similar to international trade, regulations in the app store for certain countries may impact Apple's business

Final Recommendation

Based on the DCF analysis, Apple appears to be overvalued in the current market. However, Apple continues to be a very strong pick due to its strong financial position, ability for long-term growth, ecosystem advantages, and positioning in the current market. Investors should consider if its positioning in artificial intelligence, Services, and innovation justifies the heavy market premium it trades under.

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